

Financial Accounting and Reporting

Study Framework
Slayer CPA

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Contents

Concept Maps

Decision Trees

Formula Sheet

Reference Tables

Mnemonics

Concept Maps

Financial Statements Overview

Financial Statements

Balance Sheet

- | Current & non-current assets
- | Current & long-term liabilities
- | Stockholders' equity

Income Statement

- | Revenue
- | Cost of goods sold
- | Operating expenses
- | Other income/expenses
- | Income tax expense

Statement of Cash Flows

- | Operating activities
- | Investing activities
- | Financing activities

Statement of Stockholders' Equity

- | Common/preferred stock
- | APIC
- | Retained earnings
- | Treasury stock
- | AOCI

Revenue Recognition (ASC 606)

ASC 606 — Five-Step Model

- | Step 1: Identify the contract
- | Step 2: Identify performance obligations
- | Step 3: Determine transaction price
 - | Variable consideration
 - | Significant financing component
 - | Non-cash consideration
 - | Consideration payable to customer
- | Step 4: Allocate to performance obligations
- | Step 5: Recognize when/as obligations are satisfied
 - | Point in time
 - | Over time

Lease Classification (ASC 842)

Lease Accounting

- | Lessee
 - | Finance Lease
 - | ROU asset + lease liability
 - | Amortization + interest expense
 - | Front-loaded expense pattern
 - | Operating Lease
 - | ROU asset + lease liability
 - | Single straight-line lease expense
- | Lessor
 - | Sales-type
 - | Direct financing
 - | Operating

Governmental Accounting Fund Structure

Government Funds

Governmental Funds

- General Fund
- Special Revenue
- Capital Projects
- Debt Service
- Permanent

Proprietary Funds

- Enterprise
- Internal Service

Fiduciary Funds

- Pension Trust
- Investment Trust
- Private-Purpose Trust
- Custodial

Income Tax Accounting (ASC 740)

Income Tax Provision

Current Tax Expense

- Taxable income $\times$ tax rate
- Based on tax return amounts

Deferred Tax

- Deferred Tax Asset (DTA)
 - Future deductible amounts
 - NOL/credit carryforwards
 - Valuation allowance if needed
- Deferred Tax Liability (DTL)
 - Future taxable amounts
 - Accelerated depreciation

GAAP Hierarchy

U.S. GAAP Sources

Authoritative

- FASB ASC (sole source)
- SEC rules/SABs (public entities)
- ASUs (updates to codification)

Nonauthoritative

- FASB Concepts Statements
- AICPA Issues Papers
- Industry practice / textbooks

Consolidation and Investment Hierarchy

Level of Influence

Control (>50%)

- Full consolidation
- Eliminate intercompany transactions
- Report NCI in equity

Significant Influence (20-50%)

- Equity method
- Single-line balance sheet / income
- Adjust for share of income/dividends

No Significant Influence (<20%)

- Fair value through net income (default)
- FV-OCI election (equity, no recycling)

VIE (any %)

- Primary beneficiary test: power + economics
- Consolidate if primary beneficiary

NFP Net Asset Classification

Net Assets (ASC 958)

Without Donor Restrictions

- Board-designated (internally restricted)
- Undesignated (fully available)

With Donor Restrictions

- Purpose restrictions
- Time restrictions
- Perpetual (endowments)
 - Principal maintained permanently

CECL Expected Credit Loss Model (ASC 326)

Current Expected Credit Losses

Scope

- Trade receivables
- Held-to-maturity debt securities
- Loan receivables
- Net investment in leases
- Off-balance-sheet credit exposures

Measurement Inputs

- Historical loss experience
- Current economic conditions
- Reasonable and supportable forecasts

Key Principles

- Lifetime losses recognized at origination
- Pool assets with similar risk characteristics
- Revert to historical loss rates beyond forecast period
- Contra-asset (allowance) — not direct write-down

Decision Trees

Lease Classification (Lessee — ASC 842)

Does the lease transfer ownership to the lessee by the end of the lease term?

Yes: Finance lease

No: Does the lease contain a purchase option the lessee is reasonably certain to exercise?

Yes: Finance lease

No: Is the lease term for the major part (e75%) of the asset's remaining economic life?

Yes: Finance lease

No: Is the present value of lease payments e substantially all (e90%) of the asset's fair value?

Yes: Finance lease

No: Operating lease

Impairment Testing — Indefinite-Lived Intangible Assets

Is a qualitative assessment performed first? (optional)

Yes: Is it more likely than not (>50%) that fair value is less than carrying amount?

Yes: Does fair value < carrying amount in quantitative test?

Yes: Recognize impairment loss = Carrying Amount - Fair Value

No: No impairment

No: No impairment — stop here

No: Does fair value < carrying amount?

Yes: Recognize impairment loss = Carrying Amount - Fair Value

No: No impairment

Cash Flow Classification

Does the cash flow relate to buying/selling long-term assets or investments?

Yes: Investing activity

No: Does the cash flow relate to issuing/repaying debt or equity?

Yes: Financing activity

No: Operating activity (default — if it doesn't fit investing or financing)

Inventory: Lower of Cost or Net Realizable Value

Is the inventory's Net Realizable Value (NRV) less than its cost?

Yes: Write down to NRV; recognize loss in COGS

No: Was the inventory previously written down?

Yes: Recovery allowed up to original cost (under ASC 330 for non-LIFO methods); LIFO/retail — no recovery

No: No adjustment needed — carry at cost

Sale-Leaseback Classification

Does the transfer of the asset qualify as a sale under ASC 606 (control transferred)?

Yes: Is the leaseback classified as a finance lease?

Yes: Not a sale — record as financing obligation (failed sale-leaseback)

No: Sale recognized — derecognize asset, record ROU asset and lease liability; recognize gain only on rights transferred to buyer

No: Not a sale — record cash received as financing obligation; seller keeps asset on books

Uncertain Tax Position (ASC 740-10)

Is it more likely than not (>50%) that the tax position will be sustained on technical merits?

Yes: Does the largest amount with >50% cumulative likelihood equal the full tax position?

Yes: Recognize the full tax benefit — no unrecognized tax benefit liability needed

No: Recognize only the measured amount; record the difference as an unrecognized tax benefit liability

No: No tax benefit recognized — record full unrecognized tax benefit as liability

Software Cost Capitalization

Is the software for internal use or for external sale/licensing?

Yes: Has the application development stage begun (internal-use, ASC 350-40)?

Yes: Capitalize development costs until post-implementation stage

No: Expense as incurred (preliminary project stage)

No: Has technological feasibility been established (external, ASC 985)?

Yes: Capitalize until available for general release; amortize at greater of revenue ratio or straight-line

No: Expense as incurred (R&D phase)

Bank Reconciliation: Book Adjustment or Bank Adjustment?

Is this item already recorded on the company's books?

Yes: Does the item appear on the bank statement but not the bank's records of the company's account?

Yes: Bank error — adjust bank balance

No: No adjustment needed — item is properly recorded on both sides

No: Is this item on the bank statement (e.g., service charges, NSF checks, interest earned, EFT collections)?

Yes: Adjust books — record journal entry for items the bank recorded that the company hasn't yet

No: Adjust bank balance — these are outstanding items (deposits in transit, outstanding checks) the company recorded but bank hasn't processed

How to Account for a Loss Contingency (ASC 450)

Is it probable that a loss has been incurred as of the balance sheet date?

Yes: Can the amount of the loss be reasonably estimated?

Yes: Is a specific amount within the range a better estimate than any other?

Yes: Accrue the best estimate amount; disclose the contingency

No: Accrue the minimum of the range; disclose the nature and possible additional loss up to the range maximum

No: Do not accrue — disclose the nature of the contingency and state that an estimate cannot be made

No: Is the loss reasonably possible?

Yes: Do not accrue — disclose the nature of the contingency and estimate of possible loss (or state estimate cannot be made)

No: Remote — generally no accrual or disclosure required (except guarantees of others' debt)

Formula Sheet

Basic EPS	$\frac{(\text{Net Income} - \text{Preferred Dividends})}{\text{Weighted-Average Common Shares Outstanding}}$	
Diluted EPS	$\frac{(\text{Net Income} - \text{Pref. Dividends} + \text{Convertible Adjustments})}{(\text{WACSO} + \text{Dilutive Potential Shares})}$	Include effects of stock options (treasury stock method), convertible bonds, and convertible preferred stock if dilutive
Straight-Line Depreciation	$\frac{(\text{Cost} - \text{Salvage Value})}{\text{Useful Life}}$	
Double-Declining Balance	$\text{Book Value} \times (2 / \text{Useful Life})$	Ignore salvage value until BV reaches salvage
Sum-of-Years-Digits	$(\text{Cost} - \text{Salvage}) \times (\text{Remaining Life} / \text{Sum of Years Digits})$	Sum of years digits = $n(n+1)/2$
Weighted-Average Cost (Inventory)	$\text{Total Cost of Goods Available} / \text{Total Units Available}$	
COGS (Periodic)	$\text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$	
Bond Carrying Amount	$\text{Face Value} \pm \text{Unamortized Premium/Discount}$	Premium: stated rate > market rate. Discount: stated rate < market rate.
Effective Interest (Bond Amort.)	$\text{Interest Expense} = \text{Carrying Amount} \times \text{Market Rate at Issuance}$	
Right-of-Use Asset (Initial)	$\text{Lease Liability} + \text{Initial Direct Costs} + \text{Prepaid Lease Payments} - \text{Lease Incentives}$	
Deferred Tax Asset/Liability	$\text{Temporary Difference} \times \text{Enacted Tax Rate}$	Use rate expected to be in effect when difference reverses
Pension Expense (Defined Benefit)	$\text{Service Cost} + \text{Interest Cost} - \text{Expected Return on Plan Assets} + \text{Amortization of Prior Service Cost} \pm \text{Amortization of Net Gain/Loss}$	

Governmental — Change in Fund Balance	Revenues + Other Financing Sources Expenditures Other Financing Uses	
Gross Profit Method (Ending Inventory)	Ending Inventory = Goods Available for Sale [Net Sales × (1 - Gross Profit %)]	Estimates ending inventory using historical gross profit percentage applied to sales
Asset Retirement Obligation (Initial)	ARO Liability = Estimated Future Cost / (1 + r) ⁿ	Present value of estimated retirement cost using credit-adjusted risk-free rate (r) over n periods
Goodwill (Acquisition Method)	Goodwill = Consideration Transferred + FV of NCI + FV of Previously Held Interest - FV of Net Identifiable Assets	If result is negative, recognize a bargain purchase gain after reassessing measurements
Net Pension Liability (GASB 68)	Net Pension Liability = Total Pension Liability - Plan Fiduciary Net Position	Reported on the government-wide Statement of Net Position for employer
Net Periodic Pension Cost (ASC 715)	Service Cost + Interest Cost - Expected Return on Plan Assets ± Amortization of Prior Service Cost ± Amortization of Net Gain/Loss	Service cost is in operating income; all other components reported below the line. Expected return reduces pension expense; actual vs. expected difference deferred in OCI.
Allowance for Credit Losses (CECL — ASC 326)	Allowance = £Amortized Cost of Pool × Expected Loss Rate over Remaining Life	Current expected credit loss model. Estimate lifetime losses at origination using historical data, current conditions, and reasonable/supportable forecasts. Applies to financial assets at amortized cost.

Reference Tables

Inventory Methods Comparison

Method	COGS in Rising Prices	Ending Inventory	Tax Effect
FIFO	Lowest (oldest costs)	Highest (newest costs)	Highest taxable income
LIFO	Highest (newest costs)	Lowest (oldest costs)	Lowest taxable income
Weighted Average	Middle	Middle	Middle
Specific Identification	Actual cost of item sold	Actual cost of item remaining	Varies

Governmental vs. Commercial Accounting

Feature	Governmental Funds	Proprietary Funds	Commercial
Measurement focus	Current financial resources	Economic resources	Economic resources
Basis of accounting	Modified accrual	Full accrual	Full accrual
Revenues recognized when	Measurable & available	Earned	Earned
Long-term assets/debt	Not reported in fund	Reported in fund	Reported
Budget integration	Yes (legally required)	Optional	No

ASC 606 Variable Consideration Methods

Method	When to Use	Calculation
Expected value	Large number of similar contracts	Probability-weighted sum of possible amounts
Most likely amount	Binary outcomes (e.g., bonus met or not)	Single most likely outcome in the range

Stock Compensation — Key Entries

Event	Debit	Credit
Grant date (options)	No entry	No entry
Each vesting period	Compensation Expense	APIC — Stock Options

Exercise of options	Cash + APIC — Stock Options	Common Stock + APIC
Forfeiture (actual)	APIC — Stock Options	Compensation Expense (reverse)

Key IFRS vs. GAAP Differences

Topic	U.S. GAAP	IFRS
LIFO inventory	Permitted	Prohibited
Inventory write-down reversal	Not permitted (FIFO/WA)	Permitted up to original cost
Development costs	Expense as incurred	Capitalize if 6 criteria met (IAS 38)
PP&E revaluation	Not permitted (historical cost)	Permitted (revaluation model, IAS 16)
Long-lived asset impairment reversal	Not permitted	Permitted (except goodwill)
Component depreciation	Permitted, not required	Required for significant components
Contingent liability threshold	Probable (>75%)	Probable (>50%)

Lessor Lease Classification (ASC 842)

Feature	Sales-Type	Direct Financing	Operating
Asset derecognized	Yes	Yes	No
Selling profit	Immediate	Deferred	N/A
Selling loss	Immediate	Immediate	N/A
Income pattern	Interest (front-loaded)	Interest (front-loaded)	Straight-line
Depreciation	N/A (asset derecognized)	N/A	Lessor depreciates

OCI Components

Component	Reclassified to Income?	When Reclassified
Unrealized gains/losses — AFS debt securities	Yes	When sold or impaired
Foreign currency translation adjustments	Yes	When foreign entity disposed
Pension/OPEB adjustments	Yes	Amortized into pension expense
Cash flow hedge gains/losses	Yes	When hedged item affects earnings
Credit risk changes (FV option liabilities)	No	Never reclassified

Temporary vs. Permanent Differences

Item	Type	Creates Deferred Tax?
Accelerated tax depreciation	Temporary	DTL
Warranty accrual (deductible when paid)	Temporary	DTA
Unearned revenue (taxable when received)	Temporary	DTA
Installment sale gain	Temporary	DTL
Municipal bond interest	Permanent	No
Fines and penalties	Permanent	No
Life insurance premiums on officers	Permanent	No
Meals expense (50% nondeductible)	Permanent	No

Special Purpose Frameworks Comparison

Framework	Basis of Accounting	Common Users	Key Feature
Cash basis	Revenue/expense when cash received/paid	Small businesses, sole proprietors	Simplest; no receivables or payables
Modified cash basis	Cash basis + selected accruals (depreciation, debt)	Small businesses wanting some accrual items	Must be logical and consistent modifications

Tax basis	IRC rules for income/deductions	Tax-focused entities, S corps, partnerships	Follows tax return; DTA/DTL not needed
Regulatory basis	Rules prescribed by regulatory agency	Insurance companies, utilities, banks	May differ significantly from GAAP
Contractual basis	Terms specified in a contract or agreement	Loan covenants, joint ventures	Tailored to specific agreement requirements

ASC 820 Fair Value Hierarchy

Level	Input Type	Examples	Reliability
Level 1	Quoted prices (unadjusted) in active markets for identical assets/liabilities	Exchange-traded stocks, U.S. Treasury bonds, commodity futures	Highest — most reliable
Level 2	Observable inputs other than Level 1 (similar assets, inactive markets, derived from observable data)	Corporate bonds with comparable trade data, interest rate swaps using yield curves, real estate with comparable sales	Moderate — observable but adjusted
Level 3	Unobservable inputs based on entity's own assumptions about market participant assumptions	DCF models with projected revenues, internal pricing models for complex derivatives, customer relationship valuations	Lowest — most estimation uncertainty

Loss Contingency Treatment (ASC 450)

Likelihood	Definition	Accrue?	Disclose?
Probable	Likely to occur	Yes, if reasonably estimable (minimum of range if no best estimate)	Yes — nature and amount
Reasonably possible	More than remote but less than likely	No	Yes — nature and estimate of possible loss or range
Remote	Slight chance	No	Generally no (except guarantees of others' debt)

Mnemonics

DR DIGS

Depreciation, Rent, Depletion, Interest (on bonds), Goodwill (amortization/impairment), Start-up costs

Common items that create deferred tax liabilities — book expense is less than tax deduction, so tax is deferred.

GRaSPP

General, Special Revenue, Debt Service, Capital Projects, Permanent

The five governmental fund types. Remember: the government GRaSPPs your tax money.

SE-PIC

Service cost, Expected return (subtract), Prior service cost amortization, Interest cost, Corridor amortization (gains/losses)

Components of defined benefit pension expense. Think: the SEPIC order of pension costs.

OWES LIFE

Ownership transfer, Written purchase option, Economic life $\geq 75\%$, Substantially all FV $\geq 90\%$, Lessee — If any of the First Four apply ' finance, Else ' operating

ASC 842 lessee lease classification criteria. If the lessee OWES LIFE, it's a finance lease.

RICE

Revenue, Inventory changes, COGS adjustments, Expenses

Order of indirect method operating cash flow adjustments: start with net income, then adjust for non-cash items using RICE.

CARINV

Contract identified, Approval/commitment, Rights identifiable, IN-substance commercial, Variable/fixed consideration measurable

The five criteria that must all be met to identify a contract under ASC 606 Step 1.

PUFER

Pensions/OPEB, Unrealized gains on AFS debt, Foreign currency translation, Effective portion of cash flow hedges, Risk (credit) changes on FV option liabilities

The five components of Other Comprehensive Income (OCI). PUFER items bypass net income and accumulate in AOCI on the balance sheet.

TIPARA

Technical feasibility, Intention to complete, Probable future benefits, Ability to use/sell, Resources available, Ability to measure costs

The six criteria for capitalizing development costs under IFRS (IAS 38). Under GAAP, development costs are always expensed — this mnemonic is for IFRS differences only.

WUCC

Warranties (accrued), Unearned revenue (taxed on receipt), Compensation (accrued), Credit losses (estimated)

Common items that create deferred tax assets — book expense now, tax deduction later, so future tax savings are recognized.

SIRAE

Service cost, Interest cost, Return on plan assets (subtract), Amortization of prior service cost, Excess gain/loss amortization (corridor)

The five components of net periodic pension cost under ASC 715. SIRAE walks through each element in order. Only service cost hits operating income; the rest go below the line.

PRE

Probable, Reasonably estimable ' Expense (accrue the loss)

The two conditions for accruing a loss contingency under ASC 450. Both must be met: the loss must be Probable AND Reasonably Estimable. If either condition is not met, disclosure may still be required but no accrual is recorded.

MIC

Market approach, Income approach, Cost approach

The three valuation techniques under ASC 820 for measuring fair value. Market uses comparable transactions, Income converts future cash flows to present value, and Cost uses replacement cost adjusted for obsolescence.